Losing momentum: On slowing consumption demand

GST receipts and other recent indicators suggest consumption is still a concern

Several economic **indicators** released over the past week **are** bad news for the Finance Ministry and Reserve Bank of India's hopes of a growth **rebound** in the second half of 2024-25 — at least for the October-December quarter. While GDP growth slipping to 5.4% in the second quarter was **termed** a **transient blip**, **policymakers** have **acknowledged** slowing consumption demand led by **restrained** spending trends in urban India. They have also **exuded optimism** about a festive boost from cities along with a **resilient** rural demand **outlook lifting** the momentum. The latest data points are also important as they are part of the final **gauges** for the Finance Ministry to **assess** before it finalises its economic **blueprint** for 2025-26 in the February 1 Union Budget. Bank credit growth has slowed for the fifth **straight** month in November, while core infrastructure **sectors** — about 40% of industrial output — **expanded** at a four-month high pace of 4.3%. However, production levels were 3.3% below October with six of eight sectors operating at lower capacities. The Purchasing Managers' Index shows factory activity levels through November and December were the worst through 2024, even as **input cost inflation spurred** price hikes that would hit demand **somewhat** over time.

The Goods and Services Tax (GST) **receipts** for December, based on transactions **concluded** in November, **do** not have much **succour** to offer either, especially on the consumption engine of the economy. Gross revenues were at a three-month low of almost ₹1.77 lakh crore, and just 7.3% higher than last year, marking the joint-second slowest **uptick** in three and a half years. December's revenues, in fact, **mark** the fourth straight month of below-10% growth, with the **pace decelerating** every passing month, and the year-to-date rise in revenues is now just 8.6%, making the 11% growth estimate in the Budget a **tall task** to **catch up with** in the final quarter. Net revenues after refunds were just 3.3%, the slowest this **fiscal**, although this may partly be explained by high refund **payouts** in December. Revenue growth from domestic transactions slowed to 8.4%, while import revenues grew just 3.9% — the former may **perhaps** be linked to tighter retail credit flows and a post-Deepavali spending **pullback**, but the latter is a **tad** puzzling as November's goods import bill had **shot up** 27% to a record high of $70 billion. The poor revenue growth **rates** for major consumer States such as Uttar Pradesh (1%) and Gujarat (4%), and the **persistent** **contraction** in Andhra Pradesh and a few northeastern States (including Manipur), also **need** closer **scrutiny**. For the Budget's **formulation**, the Centre would do well to try to understand and **address** the **pain points afflicting** consumption, including high inflation. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Lose** (verb) – To misplace, fail, surrender, or forfeit खोना
2. **Momentum** (noun) – Speed, force, drive, impetus, energy गति
3. **Rebound** (noun) – Recovery, resurgence, resurgence, revival पुनरुत्थान
4. **Term** (verb) – To name, label, designate, call नाम देना
5. **Transient** (adjective) – Temporary, fleeting, short-lived, momentary अस्थायी
6. **Blip** (noun) – Minor problem, hiccup, glitch, interruption छोटी समस्या
7. **Policymaker** (noun) – Decision-maker, legislator, planner नीति निर्माता
8. **Acknowledge** (verb) – Recognize, admit, accept, concede स्वीकार करना
9. **Restrain** (verb) – Limit, restrict, control, hold back रोकना
10. **Exude** (verb) – Emit, radiate, ooze, display प्रकट करना
11. **Optimism** (noun) – Hopefulness, positivity, confidence, expectation आशावाद
12. **Resilient** (adjective) – Strong, tough, robust, adaptable मज़बूत
13. **Outlook** (noun) – Perspective, view, forecast, expectation दृष्टिकोण
14. **Lift** (verb) – Raise, elevate, boost, uplift उठाना
15. **Gauge** (noun) – Measure, standard, indicator, benchmark मापदंड
16. **Assess** (verb) – Evaluate, judge, estimate, analyze मूल्यांकन करना
17. **Blueprint** (noun) – Plan, design, framework, roadmap योजना
18. **Straight** (adjective) – Consecutive, uninterrupted, linear, direct लगातार
19. **Input cost inflation** (noun) – Rise in costs for raw materials or inputs लागत मुद्रास्फीति
20. **Spur** (verb) – Stimulate, motivate, encourage, boost प्रेरित करना
21. **Somewhat** (adverb) – Slightly, partially, moderately, to some extent कुछ हद तक
22. **Conclude** (verb) – End, finish, finalize, complete समाप्त करना
23. **Succour** (noun) – Assistance, aid, help, relief सहायता
24. **Uptick** (noun) – Increase, rise, improvement, upturn वृद्धि
25. **Mark** (verb) – Indicate, signify, represent, denote दर्शाना

26. **Pace** (noun) – Speed, rate, velocity, momentum गति

27. **Decelerating** (adjective) – Slowing down, reducing speed धीमा होना

28. **A tall task** (phrase) – A difficult goal, a challenging job कठिन कार्य

29. **Catch up with** (phrase) – Match, reach the level of, align पकड़ना

30. **Fiscal** (noun) – Financial year, budgetary period वित्तीय वर्ष

31. **Payout** (noun) – Payment, disbursement, compensation भुगतान

32. **Perhaps** (adverb) – Maybe, possibly, conceivably, probably शायद

33. **Pullback** (noun) – Retraction, withdrawal, reduction, fallback कमी

34. **Tad** (noun) – Small amount, little bit, fraction, slight थोड़ा

35. **Shoot up** (phrasal verb) – Rise quickly, increase rapidly, surge तेजी से बढ़ना

36. **Persistent** (adjective) – Constant, enduring, continuous, ongoing निरंतर

37. **Contraction** (noun) – Reduction, decrease, shrinkage, downturn घटाव

38. **Scrutiny** (noun) – Examination, inspection, analysis, investigation जाँच

39. **Formulation** (noun) – Planning, creation, development, design निर्माण

40. **Address** (verb) – Deal with, tackle, handle, confront समाधान करना

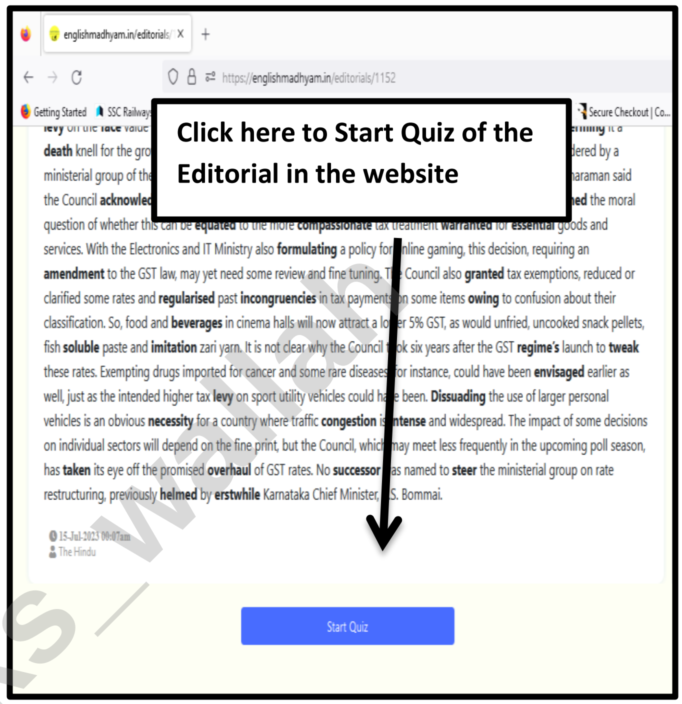
41. **Pain points** (phrase) – Problems, challenges, difficulties, weak spots समस्या क्षेत्र

42. **Afflict** (verb) – Trouble, distress, bother, plague विपदा में डालना

Summary of the Editorial

1. **Economic Slowdown Concerns**: Recent indicators suggest weakening economic momentum, challenging hopes for a rebound in the latter half of 2024-25.
2. **GDP Growth Dip**: GDP growth slowed to 5.4% in the second quarter, attributed to declining urban consumption demand.
3. **Optimism on Rural Demand**: Policymakers hope for a festive-season boost and resilient rural demand to revive momentum.
4. **Credit Growth Slump**: Bank credit growth slowed for the fifth consecutive month in November, reflecting restrained borrowing and spending.
5. **Core Sector Challenges**: Core infrastructure sectors grew at 4.3%, a four-month high, but overall production levels were still 3.3% below October's output.
6. **Manufacturing Weakness**: The Purchasing Managers' Index indicates manufacturing activity through November and December was at its weakest in 2024, with inflationary pressures dampening demand.
7. **GST Revenues Decline**: GST receipts for December dropped to a three-month low of ₹1.77 lakh crore, marking the fourth consecutive month of below-10% growth.
8. **Revenue Growth Lag**: Year-to-date GST revenue growth stands at 8.6%, far from the Budget's 11% target, making it difficult to achieve in the final quarter.
9. **Post-Festive Spending Pullback**: Domestic revenue growth slowed to 8.4%, likely due to reduced retail credit flows and a decline in spending after Deepavali.
10. **Weaker Import Revenue Growth**: GST import revenues grew only 3.9%, despite a record-high goods import bill of $70 billion in November, signaling a potential mismatch.
11. **State-Level Revenue Concerns**: Major consumer states like Uttar Pradesh (1%) and Gujarat (4%) reported poor revenue growth, with contractions in Andhra Pradesh and northeastern states.
12. **Inflationary Pressures**: Persistent inflation continues to affect consumption, as rising input costs lead to price hikes, dampening demand.
13. **Budget Implications**: The weak revenue trends are critical for the Finance Ministry to address in the upcoming Union Budget for 2025-26.
14. **Consumption Pain Points**: Identifying and addressing factors hindering consumption, such as high inflation and credit constraints, will be crucial for economic revival.
15. **Need for Strategic Interventions**: Policymakers must focus on understanding structural issues and formulating measures to stimulate consumption and sustain economic growth.

Practice Exercise: Banking Pattern Based



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